



CIMA Management Case Study

Mock Exam 2

Flatthall

Unseen

Task 1 - Unseen case material

You receive an email from Susanna Leong.

From: Susanna Leong, Senior Financial Manager

To: Financial Manager

Subject: Impact of proposals and customer relations performance

Dear Financial Manager,

In a recent Board meeting (the minutes of which I have attached - Reference Material), the directors discussed several methods for improving Flatthall's profitability. After the meeting, Marina Delgado reached out to me to arrange an analysis of the proposals.

Based on the attached minutes, please write a report:

- Analysing how each of the proposals would impact relevant stakeholders and how they should be managed.

[Sub task a - 40%]

Additionally, Marina is going to be working with Hamid Abbasi (Customer Service Director) in the coming weeks to help manage and improve performance in the Customer Relations department. In particular, Hamid would like to focus on areas beyond financial metrics. Please also provide in your report:

- An explanation of the issues that should be considered when designing these performance indicators and recommending, with reasons, some suitable performance indicators for the Customer Relations department that are aligned with the company's objectives.

[Sub task b - 60%]

Kind regards,

Susanna Leong

Senior Financial Manager, Flatthall

Reference material

Minutes from Board of Directors Meeting (May 1st 2024)

Discussion arose around two proposals aimed at enhancing Flatthall's profitability. Taisha Abbott presented the first proposal, advocating for the establishment of low-cost student housing. She highlighted the potential to tap into a broader market segment, arguing that offering more affordable accommodations could attract a larger pool of students, thereby increasing occupancy rates and, ultimately, revenue.

In contrast, Dai Linlin proposed a new policy regarding the initial student payments. He suggested making the initial reservation payment non-refundable, regardless of whether a student withdraws their offer or is unable to attend. This approach was presented as a means to secure early revenue and reduce financial losses from last-minute cancellations.

The Board engaged in a detailed debate over these proposals. Concerns were raised about the impact of low-cost housing on Flatthall's brand image and the student experience. Conversely, some directors expressed apprehension about potential backlash from stricter payment and refund policies.

The discussion concluded with an agreement to further assess the potential financial and non-financial impacts of both proposals.

Task 2 - Unseen case material

A month later, another email arrives from Susanna Leong.

From: Susanna Leong, Senior Financial Manager

To: Financial Manager

Subject: Low-cost housing project

Dear Financial Manager,

Following on from the work performed last month reviewing the Board's proposals, attention has become focused on the low-cost housing proposal. Ahead of the next Board meeting, Pasan Fernando has asked that we prepare a new report:

- Identifying and evaluating three major business risks associated with the low-cost housing proposal and how best to manage them.

[Sub task a - 40%]

In your report, please also:

- Discuss whether the low-cost housing proposal is aligned with Flatthall's business model and suggest sources of data that could be used to make an informed decision regarding this proposal.

[Sub task b - 60%]

Kind regards,

Susanna Leong

Senior Financial Manager, Flatthall

Reference material

Flatthall Low-cost Housing Proposal

Objective: To expand Flatthall's market reach by developing low-cost student housing, addressing the increasing demand for affordable accommodation.

An initial building will be constructed in Tert City, Towland's third-largest university city. Tert City is home to two higher learning institutions and already has two of Flatthall's high-end PBSA blocks within 10-15 minutes' travel of one or both of the learning institutions.

The new building will be one of Flatthall's largest to date, at 14 storeys and a maximum capacity of 880 students. Unlike other Flatthall buildings, there will be no social floor, rooms will be slightly smaller, and decoration will be more basic. The new building will be constructed approximately 25 minutes away from the more popular higher learning institution and 35 minutes away from the other, with a dedicated city bus route established to help transport students to and from the university.

Estimated Cost: T\$25.4 million for development and initial operations.

Timeframe:

- Planning and approval: Q1-2 2025
- Construction: Q3 2025 - Q2 2027
- Launch: Q3 2027

Expected return:

- Year 1: T\$4.2 million (initial ramp-up phase)
- Year 2-5: T\$6.1 million annually.

Project oversight: Allison Jones (Senior Construction Manager), reporting to Taisha Abbott (Property Portfolio Director).

Task 3 - Unseen case material

After careful consideration of the benefits and issues, the Board decided to proceed with the low-cost accommodation project. Two months later, you receive an email from Susanna Leong.

From: Susanna Leong, Senior Financial Manager

To: Financial Manager

Subject: Property acquisitions dysfunction, financial reporting query

Dear Financial Manager,

Please see the attached email (Reference Material 1) from Alan Burton, the newly appointed HR manager working under Dai Linlin in Operations, about a recent conflict between members of the Property Acquisitions team and the Construction Management team. Alan is looking for some assistance with managing this conflict.

Please produce a report:

- Recommending, with reasons, suitable approaches for addressing the conflict in the Property Portfolio division.

[Sub task a - 48%]

On a separate note, two of the non-executive directors on the Board would like to know more about how we produce the financial reports; see their attached message (Reference Material 2). Could you also write a report in which you:

- Explain how Flatthall's brand name and the recent app creation costs will be treated in our financial statements.

[Sub task b - 52%]

Kind regards,

Susanna Leong

Senior Financial Manager, Flatthall

Reference material 1

Email from Alan Burton

From: Alan Burton, HR Manager

To: Susanna Leong, Senior Financial Manager

Subject: Inter-team conflict within the property portfolio division

Dear Susanna,

It has come to my attention that, recently, several members of the Property Acquisition team appear to be in conflict with members of the Construction Management team. Taisha Abbott has tasked me with helping manage this conflict. I'd appreciate some insights from you or your team.

The antagonism between members of the teams stems from a communication breakdown. The Property Acquisition team has also been submitting sites for purchase that, while more cost-effective to purchase, will be less efficient to build on, increasing the Construction team's costs.

The conflict is leading to work delays and has actually resulted in material errors in their work. As such, I'm sure you will agree this needs to be managed.

I look forward to any guidance you or your team can offer.

Best wishes,

Alan Burton
HR Manager

Reference material 2

Email from non-executive director

From: Sahar Ismail Mohamed, NED

CC: Andrew Menzies, NED

To: Susanna Leong (Senior Financial Manager)

Subject: Financial reporting query

Dear Susanna,

While I and the rest of the non-executive directors of the Board have experience in a range of different fields, a few of us do not possess financial accounting expertise.

Recently, we have been examining the financial reports, and we would like some explanation regarding two areas:

- Flatthall's brand and name are an incredibly important asset to us now, but we are not sure precisely how this is being accounted for in our financial statements.
- We recently launched the new Flatthall app, but we would like to understand how the cost of creating that app will have been accounted for.

Thank you in advance for your assistance.

Kind regards,

Sahar Ismail Mohamed

Non-executive Director, Flatthall

Task 4 - Unseen case material

Another two months have passed, and the low-budget PBSA project's planning is well underway. You receive an email from Susanna Leong.

From: Susanna Leong, Senior Financial Manager

To: Financial Manager

Subject: Project plans and team

Dear Financial Manager,

The construction management team in charge of the low-cost PBSA project has drawn up plans and submitted them for review with the project manager as well as other relevant staff members, such as myself. These plans include a useful summary (see attached - Reference Material).

Can you write me a report:

- Explaining the attached project management information and what this means for the project, as well as any changes you might recommend.

[Sub task a - 48%]

Before the project gets underway, I would also like your thoughts on the relevant project stakeholders. Can you include in your report:

- A recommendation for the composition of the project team, identifying the departments that should be represented and explaining their inclusion, and also analyse the roles of a project sponsor and a project manager and explain whether Monga should take on either role.

[Sub task b - 52%]

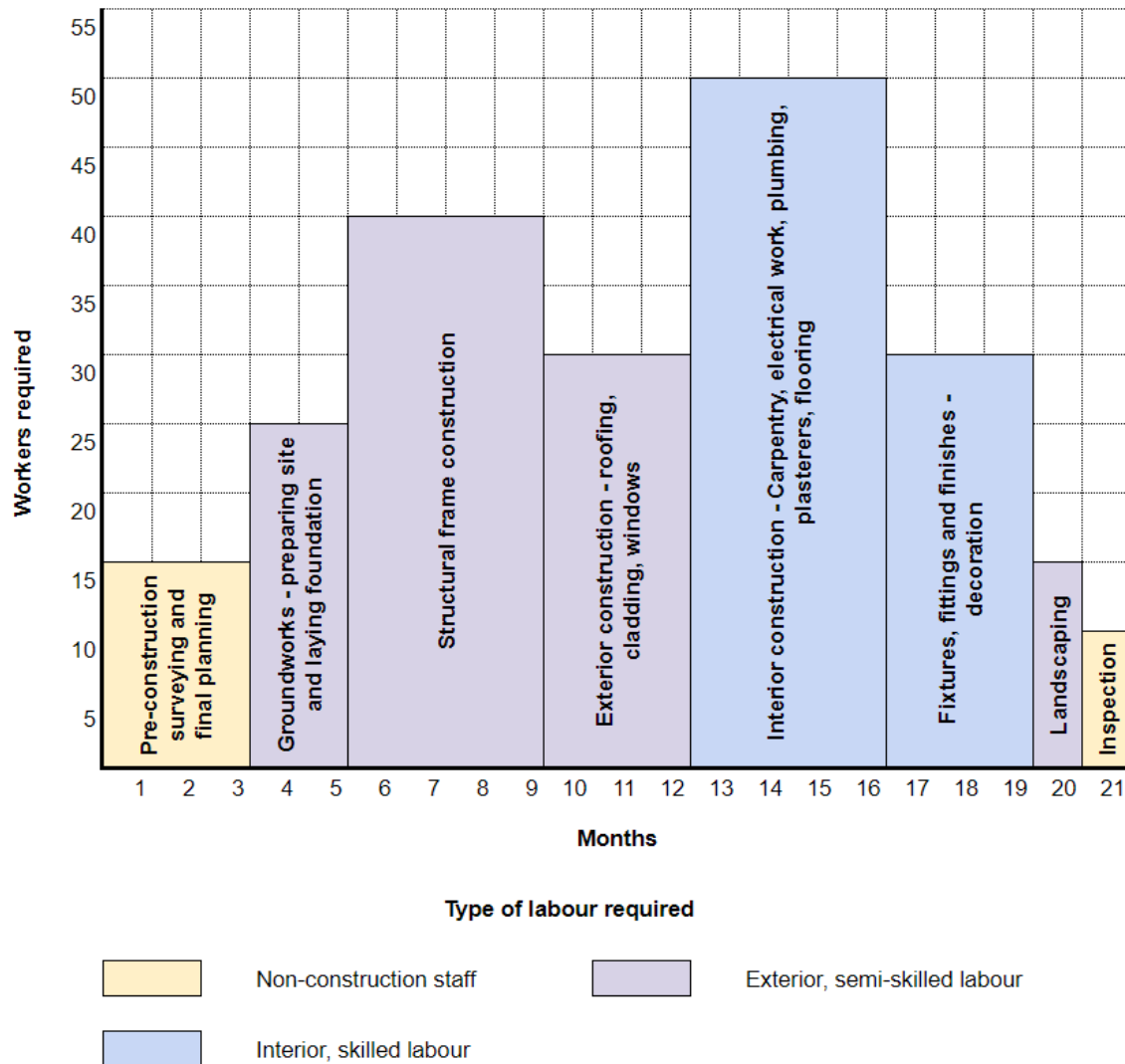
Kind regards,

Susanna Leong

Senior Financial Manager, Flatthall

Reference material

Construction project summary



Notes:

- Project due to begin in November 2025, following the completion of other ongoing Flatthall projects
- The final Inspection is now due to conclude in August 2027
- Available Flatthall staff:
 - Relevant non-construction staff - 30
 - External, semi-skilled labourers - 55
 - Internal, skilled labour - 50
- Up to 25 additional agency construction staff may be engaged at double the cost

Present value tables

Present value of US\$1 i.e. $(1 + r)^{-n}$ where r = interest rate, n = number of periods until payment or receipt.

Period s (n)	Interest rates (r)									
	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	.990	.980	.971	.962	.962	.943	.935	.926	.917	.909
2	.980	.961	.943	.925	.907	.890	.873	.857	.842	.826
3	.971	.942	.915	.889	.864	.840	.816	.794	.772	.751
4	.961	.924	.888	.855	.823	.792	.763	.735	.708	.683
5	.951	.906	.863	.822	.784	.747	.713	.681	.650	.621
6	.942	.888	.837	.790	.746	.705	.666	.630	.596	.564
7	.933	.871	.813	.760	.711	.665	.623	.583	.547	.513
8	.923	.853	.789	.731	.677	.627	.582	.540	.502	.467
9	.914	.837	.766	.703	.645	.592	.544	.500	.460	.424
10	.905	.820	.744	.676	.614	.558	.508	.463	.422	.386
11	.896	.804	.722	.650	.585	.527	.475	.429	.388	.350
12	.887	.788	.701	.625	.557	.497	.444	.397	.356	.319
13	.879	.773	.681	.601	.530	.469	.415	.368	.326	.290
14	.870	.758	.661	.577	.505	.442	.388	.340	.299	.263
15	.861	.743	.642	.555	.481	.417	.362	.315	.275	.239
16	.853	.728	.623	.534	.458	.394	.339	.292	.252	.218
17	.844	.714	.605	.513	.436	.371	.317	.270	.231	.198
18	.836	.700	.587	.494	.416	.350	.296	.250	.212	.180
19	.828	.686	.570	.475	.396	.331	.277	.232	.194	.164
20	.820	.673	.554	.456	.377	.312	.258	.215	.178	.149

Period s (n)	Interest rates (r)									
	11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
1	.901	.893	.885	.877	.870	.862	.855	.847	.840	.833
2	.812	.797	.783	.769	.756	.743	.731	.718	.706	.694
3	.731	.712	.693	.675	.658	.641	.624	.609	.593	.579
4	.659	.636	.613	.592	.572	.552	.534	.516	.499	.482
5	.593	.567	.543	.519	.497	.476	.456	.437	.419	.402
6	.535	.507	.480	.456	.432	.410	.390	.370	.352	.335
7	.482	.452	.425	.400	.376	.354	.333	.314	.296	.279
8	.434	.404	.376	.351	.327	.305	.285	.266	.249	.233
9	.391	.361	.333	.308	.284	.263	.243	.225	.209	.194
10	.352	.322	.295	.270	.247	.227	.208	.191	.176	.162
11	.317	.287	.261	.237	.215	.195	.178	.162	.148	.135
12	.286	.257	.231	.208	.187	.168	.152	.137	.124	.112
13	.258	.229	.204	.182	.163	.145	.130	.116	.104	.093
14	.232	.205	.181	.160	.141	.125	.111	.099	.088	.078
15	.209	.183	.160	.140	.123	.108	.095	.084	.074	.065
16	.188	.163	.141	.123	.107	.093	.081	.071	.062	.054
17	.170	.146	.125	.108	.093	.080	.069	.060	.052	.045
18	.153	.130	.111	.095	.081	.069	.059	.051	.044	.038
19	.138	.116	.098	.083	.070	.060	.051	.043	.037	.031
20	.124	.104	.087	.073	.061	.051	.043	.037	.031	.026

Cumulative present value tables

This table shows the Present Value of US\$1 per annum, Receivable or Payable at the end of each year for n years

$$\frac{1 - (1+r)^{-n}}{r}$$

Periods (n)	Interest rates (r)									
	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	0.990	0.980	0.971	0.962	0.952	0.943	0.935	0.926	0.917	0.909
2	1.970	1.942	1.913	1.886	1.859	1.833	1.808	1.783	1.759	1.736
3	2.941	2.884	2.829	2.775	2.723	2.673	2.624	2.577	2.531	2.487
4	3.902	3.808	3.717	3.630	3.546	3.465	3.387	3.312	3.240	3.170
5	4.853	4.713	4.580	4.452	4.329	4.212	4.100	3.993	3.890	3.791
6	5.795	5.601	5.417	5.242	5.076	4.917	4.767	4.623	4.486	4.355
7	6.728	6.472	6.230	6.002	5.786	5.582	5.389	5.206	5.033	4.868
8	7.652	7.325	7.020	6.733	6.463	6.210	5.971	5.747	5.535	5.335
9	8.566	8.162	7.786	7.435	7.108	6.802	6.515	6.247	5.995	5.759
10	9.471	8.983	8.530	8.111	7.722	7.360	7.024	6.710	6.418	6.145
11	10.368	9.787	9.253	8.760	8.306	7.887	7.499	7.139	6.805	6.495
12	11.255	10.575	9.954	9.385	8.863	8.384	7.943	7.536	7.161	6.814
13	12.134	11.348	10.635	9.986	9.394	8.853	8.358	7.904	7.487	7.103
14	13.004	12.106	11.296	10.563	9.899	9.295	8.745	8.244	7.786	7.367
15	13.865	12.849	11.938	11.118	10.380	9.712	9.108	8.559	8.061	7.606
16	14.718	13.578	12.561	11.652	10.838	10.106	9.447	8.851	8.313	7.824
17	15.562	14.292	13.166	12.166	11.274	10.477	9.763	9.122	8.544	8.022
18	16.398	14.992	13.754	12.659	11.690	10.828	10.059	9.372	8.756	8.201
19	17.226	15.679	14.324	13.134	12.085	11.158	10.336	9.604	8.950	8.365
20	18.046	16.351	14.878	13.590	12.462	11.470	10.594	9.818	9.129	8.514
Periods (n)	Interest rates (r)									
	11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
1	0.901	0.893	0.885	0.877	0.870	0.862	0.855	0.847	0.840	0.833
2	1.713	1.690	1.668	1.647	1.626	1.605	1.585	1.566	1.547	1.528
3	2.444	2.402	2.361	2.322	2.283	2.246	2.210	2.174	2.140	2.106
4	3.102	3.037	2.974	2.914	2.855	2.798	2.743	2.690	2.639	2.589
5	3.696	3.605	3.517	3.433	3.352	3.274	3.199	3.127	3.058	2.991
6	4.231	4.111	3.998	3.889	3.784	3.685	3.589	3.498	3.410	3.326
7	4.712	4.564	4.423	4.288	4.160	4.039	3.922	3.812	3.706	3.605
8	5.146	4.968	4.799	4.639	4.487	4.344	4.207	4.078	3.954	3.837
9	5.537	5.328	5.132	4.946	4.772	4.607	4.451	4.303	4.163	4.031
10	5.889	5.650	5.426	5.216	5.019	4.833	4.659	4.494	4.339	4.192
11	6.207	5.938	5.687	5.453	5.234	5.029	4.836	4.656	4.486	4.327
12	6.492	6.194	5.918	5.660	5.421	5.197	4.968	4.793	4.611	4.439
13	6.750	6.424	6.122	5.842	5.583	5.342	5.118	4.910	4.715	4.533
14	6.982	6.628	6.302	6.002	5.724	5.468	5.229	5.008	4.802	4.611
15	7.191	6.811	6.462	6.142	5.847	5.575	5.324	5.092	4.876	4.675
16	7.379	6.974	6.604	6.265	5.954	5.668	5.405	5.162	4.938	4.730
17	7.549	7.120	6.729	6.373	6.047	5.749	5.475	5.222	4.990	4.775
18	7.702	7.250	6.840	6.467	6.128	5.818	5.534	5.273	5.033	4.812
19	7.839	7.366	6.938	6.550	6.198	5.877	5.584	5.316	5.070	4.843
20	7.963	7.469	7.025	6.623	6.259	5.929	5.628	5.353	5.101	4.870